

MGMT 3105-24F

SCOPE STATEMENTS

Scope, Charter and Organizational Structures

Lecture 3

PROJECT CHARTER

PMI's Definition

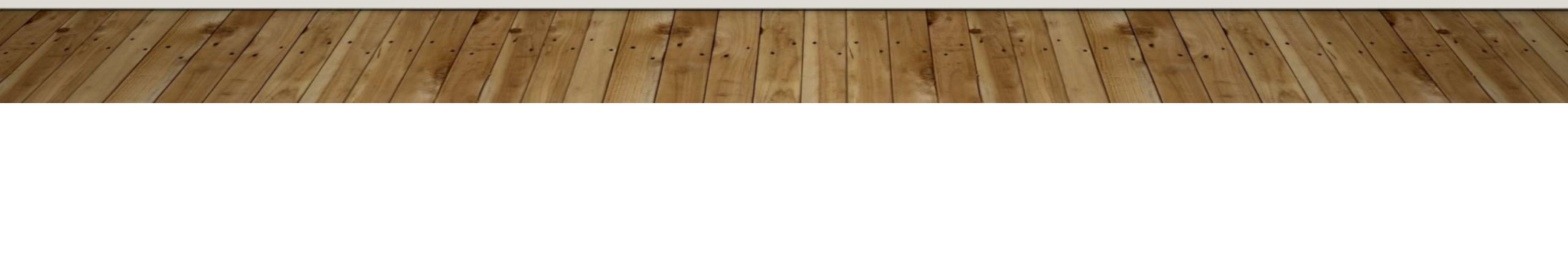
A **Project Charter** is the process of developing a document that **formally authorizes** a project and documenting initial requirements that satisfy the stakeholders' needs and expectations.

The approval of the Project Charter formally initiates the Project.



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A Charter statement is one of the documents produced in the **planning phase** of a project being managed and should include:

- the Project Description;
 - the Project Purpose;
 - the **Business Case**;
 - the Project **Deliverables**;
 - the Project **Milestones**;
 - the Project **Resources**;
 - the Project **Budget** (*gross amount only*);
 - the Internal Stakeholders;
 - the External Stakeholders;
 - the Project Risks;
 - the Project Constraints;
 - the Team Members Roles and Responsibilities;
 - a Signed-Off approval of a review of the document with the customer, and
 - a Signed-Off approval of a review of the document with corporate management.
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Key Statements

- Writing, maintaining, and using an effective **Project Charter** is one of a project manager's most important jobs.
- When properly used, a Project Charter will be the **single most important tool** the project manager utilizes for managing the expectations of the project sponsor and all other stakeholders.
- The Project Charter is used to set the **project direction** and defines the **measures of success**.
- The Project Charter provides a consolidated and summary-level **overview of the project**. It allows all stakeholders to agree and document project scope, objectives, timeframe, and deliverables.
- A Project Charter is created at the beginning of a project, approved by the stakeholders, and signed off before work can begin.
- Every project should have a Project Charter created and maintained.
- **There is no official project without an approved Project Charter**



Five Inputs for Developing a Project Charter

- Project Statement of Work (with client)
 - Document including the high-level description of the intended deliverables
 - Business Need and Product Scope Definition
 - This is our “Project Brief” document
 - Fewer details than the Scope Statement
- Business Case
- Contract
- Enterprise Environmental Factors (EEFs) (conditions we cannot control)
- Organizational Process Assets (OPA) (business plans, processes, policies, protocols, and knowledge)



Typical Sections on a Project Charter

- **Project Title and Description:**

This section includes a simple, high-level description of what is the project.

- **Business Case:**

This section of the charter explains **what business problem is being solved** by the project. It addresses the question of **why** the project is being undertaken.

- **Resources Preassigned:**

In this section of the project charter, the **sponsor** identifies how **many and what resources** will be provided for the project.

- **Stakeholders:**

This is the sponsor's impression as to who are the stakeholders.

- **Stakeholder Requirements as Known:**

This section of the project charter identifies the **high-level requirements** related to both project and product scope. Known stakeholder requirements are the requirements that have been used to justify the project.



Typical Sections on a Project Charter

- **Product Description/Deliverables:**

This section includes the project sponsor's indication of what specific product **deliverables** are wanted, and what will be the **end result of the project**.

A measure of project success is that all the **deliverables** are met.

- **Measurable Project Objectives:**

This section addresses how the project ties into the **organization's strategic goals** and includes the project objectives that support those goals.

- **Summary Milestone schedule:**

Estimate the **length of time** to complete the various phases of the project.

- **Summary Budget:**

Define the **proposed budget** for the project. Actual budget will be determined later once more planning has been completed.

Typical Sections on a Project Charter

- **Project Approval Requirements:**

This section identifies what items need to be approved for the project, and **who will have sign-off**.

- **High Level Project Risks:**

Potential threats and opportunities for the project are listed here. In-depth risk identification occurs later in the planning processes.

- **Signatures:**

This is where all the involved parties sign-off on the **proposed project** and **authorize it to begin based upon the information presented**.



Outputs of the Project Charter

- Project Purpose or Justification;
- Measurable Project Objectives;
- High-level Requirements;
- High-level Project Description;
- High-level Risks;
- Summary Milestone Schedule; and,
- Summary Budget.

Project Charter Example			
Project Name	IVR Project		
Project Sponsor	Dave Sponsor	Project Manager	Alice Michaels
Date of Project Approval	8th Mar 2015	Last Revision Date	17th Apr 2015
Project Description	To introduce a new automated telephone system to ensure all calls get answered.		
Scope	A IVR system will be introduced to assist the sales team in taking orders, and also to ensure no orders are missed. The system is only to help the sales team at this stage, other teams such as support are out of scope.		
Business Case	To increase orders per sales team member by 20% from current levels. To reduced unhandled calls to 0%. To increase customer satisfaction by 10 points.		
Constraints (in priority order)	Time	4 months	
	Budget	4 developers + 1 sales team rep	
	Scope	TBD	
	Quality	Prioritize time & budget over quality	
Project Deliverables	An IVS system to assist the sales team + training for the sales team + support during the first operational month of the system.		
Benefits (measurable results)	See KPIs below + business case above		
	KPI	Baseline	Goal
	Orders per sales person pd	20	24
	Unhandled calls pd	11	0
	Customer satisfaction	17	27
Steering Committee	CEO	Project Team	Sales Rep
	Finance Director		4x developers TBD
	Sales Director		
Key Stateholders	Name	Success Criteria	
Risks	No team members have any previous experience of IVR setup, so there is a chance we've hugely underestimated the work involved.		

Benefits of Using a Project Charter

- Stakeholders are clearly defined;
- Communication channels are defined;
- Roles and Responsibilities are outlined;
- Scope is Defined – Helps prevent “Scope Creep”;
- Improved Project Management Processes in later Phases;
- Increased Probability of project success;
- “BUY IN” from Project Team Members.



Summary

- A **Project Charter** officially **initiates** a Project;
- Project Charters are a High-level view of the project objectives, deliverables, and scope;
- Project Charters are living documents and need to be **updated** as the project moves forward;
- There are standard inputs and tools & techniques for building a Project Charter. “One Size” does not fit all; and,
- A well managed Project Charter will be the single most important tool for a Project Manager/Project Leader to manage project expectations.



Stakeholder Management

What is a “Stakeholder”?

Individuals or groups who have an active stake (interest) in the project and can potentially impact its development.

Identifying Project Stakeholders

Internal:

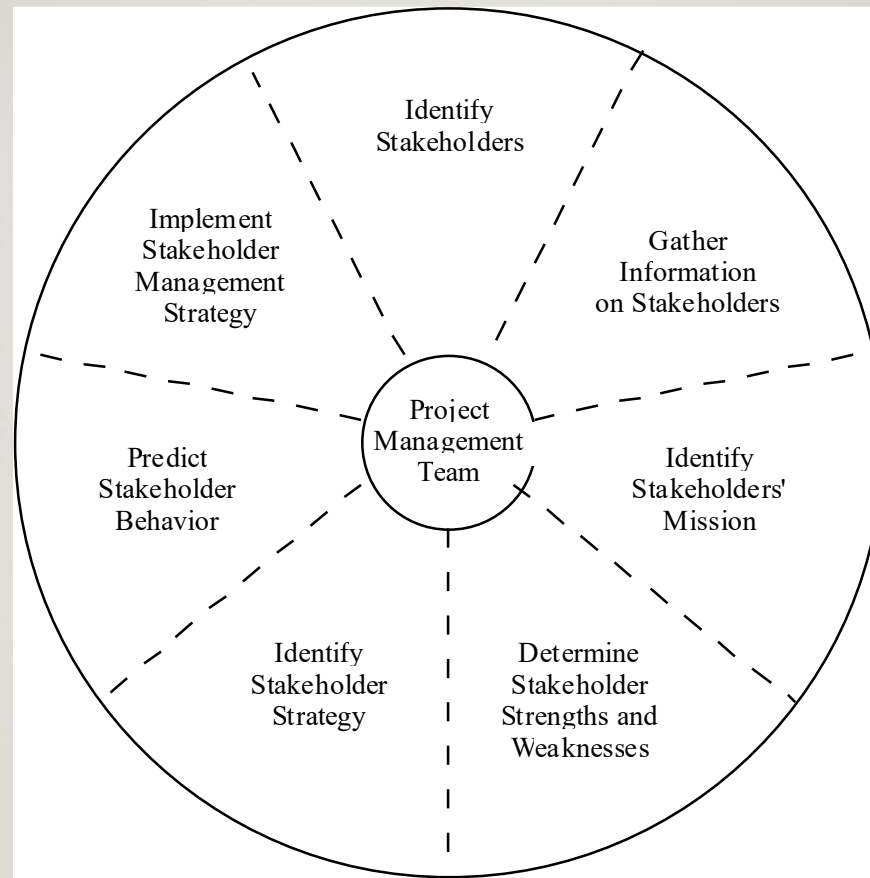
- Senior Management
- Accountant
- Team members
- I.T. Department

External:

- Client
- Competitors
- Suppliers
- Environmental Agencies
- Government Agencies
- Research Laboratories



Manage Stakeholders



MANAGE AND CONTROL STAKEHOLDER ENGAGEMENT

Communicate and work with all the stakeholders to meet their needs.
You do this to **increase support** for the project and **minimize resistance** and issues from everybody involved.

How?

**Listen to them, talk to them, communicate with them.
Help them along, teach them when needed.**



Scope Statement

A Scope statement is one of the **first documents** produced in the Planning Phase of a project being managed and should include:

- the Project Statement;
- the Acceptance Criteria;
- the Validation/Testing Plan;
- the Project **Deliverables**;
- the Project Exclusions;
- the Project Constraints;
- the Project Coordination;
- a Signed-Off approval of a review of the document with the **customer**, and
- a Signed-Off approval of a review of the document with **corporate management**.

Remember: The Scope Statement needs to be specific and with as much detail as possible. Future changes here are to be avoided, but possible.



Project Scope Management Processes

- Planning scope:** Determining how the project's scope and requirements will be managed.
- Collecting requirements:** Defining and documenting the features and functions of the products produced during the project as well as the processes used for creating them.
- Defining scope:** Reviewing the Project Charter, requirements documents, and organizational process assets to create a Scope Statement.
- Creating WBS:** Subdividing the major project deliverables into smaller, more manageable components.
- Validating scope:** Formalizing acceptance of the project deliverables during Closing.
- Control scope:** Controlling changes to project scope throughout the life of the project.

Defining Scope

Scope Statements should include at least a **product scope description**, **product user acceptance criteria**, and detailed information on all **project deliverables**.

It should also document other scope-related information, such as the project boundaries, constraints, and assumptions.

The Scope Statement should also reference **supporting documents**, such as product specifications.

As time progresses, the scope of a project should become clearer and more specific.



Scope Statement Example

EXAMPLE OF PROJECT SCOPE STATEMENT

PROJECT OBJECTIVE

To construct a high-quality, custom home within five months at cost not to exceed \$150,000.

DELIVERABLES

- A 2,200-square-foot, 2½-bath, 3-bedroom, finished home.
- A finished garage, insulated and sheetrocked.
- Kitchen appliances to include range, oven, microwave, and dishwasher.
- High-efficiency gas furnace with programmable thermostat.

MILESTONES

1. Permits approved—March 5
2. Foundation poured—March 14
3. Dry in. Framing, sheathing, plumbing, electrical, and mechanical inspections passed—May 25
4. Final inspection—June 7

TECHNICAL REQUIREMENTS

1. Home must meet local building codes.
2. All windows and doors must pass NFRC class 40 energy ratings.
3. Exterior wall insulation must meet an “A” factor of 21.
4. Ceiling insulation must meet an “R” factor of 38.
5. Floor insulation must meet an “R” factor of 25.
6. Garage will accommodate two large-size cars and one 20-foot Winnebago.
7. Structure must pass seismic stability codes.

LIMITS AND EXCLUSIONS

1. The home will be built to the specifications and design of the original blueprints provided by the customer.
2. Owner responsible for landscaping.
3. Refrigerator is not included among kitchen appliances.
4. Air conditioning is not included but rewiring is included.
5. Contractor reserves the right to contract out services.
6. Contractor responsible for subcontracted work.
7. Site work limited to Monday through Friday, 8:00 A.M. to 6:00 P.M.

CUSTOMER REVIEW

John and Joan Smith

Scope Statement Example

Project Scope Statement

Project Title: Tempting Templates

Project Justification:

Kathy Schwalbe is writing the third edition of her book Information Technology Project Management. She is planning to include an appendix listing templates and examples of various documents used in project management. She will also have a companion web site with links to the templates and documents. Our project is to research and compile an organized list of templates and sample documents to be used while writing the 3rd edition.

Project Product and Services:

Our product is a report listing document templates and sample documents used in project management. The preliminary expectation is to have 30-40 templates and documents in the list. We should consider 30 items to be the minimum requirement. Templates should be found by searching internet sites, extracted from samples in the text or they may be created by the team. The items need to be categorized in logical groupings. These groupings are to include knowledge groups, process groups and cost (free vs. for charge). The list should also indicate where, if at all, the template is used in the text.

Project Deliverables:

- Scope Statement
- Documented Team Meeting Minutes
- Project Charter
- Team Contract
- Responsibility Assignment Matrix
- Project Web Site
- Gantt Chart
- Work Breakdown Structure
- Status Report #1 and #2
- Communications Management Plan
- Status Report Presentations
- Topic Presentation – Remote Teamwork
- Project Notebook
- Final Presentation
- Lessons Learned
- Self-Assessment
- Web Site Evaluation Criteria
- Listing of web sites containing templates
- PM Template Evaluation Criteria
- Two versions of a report listing categorized templates
 - Author First with key web site templates
 - Final which includes additional templates from literature, other web sites, text book and our own.

Project Success:

The project will be deemed successful if the project is completed by 4/29/03, the PM Template Report is delivered to Kathy Schwalbe and some of the report content is included in the 3rd edition of her book.

Scope Statement Example

Project Scope Statement	
Project Name: Outsourcing Project	
Prepared by: PMP Class	
Date: 7/16/2009	
Project Justification:	<i>The business need that the project was undertaken to address. The project justification provides the basis for evaluating future tradeoffs. 1. To contain current and future IT costs. 2. Increase opportunity for monitoring contractor performance. 3. Reduce Corporate Headcount</i>
Product Description:	<i>A brief summary of the product, service, or result.</i> 1. Hosted applications and help desk services.
Project Deliverables:	<i>A list of the summary-level components (subdeliverables) for which full and satisfactory delivery marks completion of the project.</i> 1. Hosted applications and help desk services.
Out-of-scope Items:	1. Financial Applications
Project Objectives:	<i>The quantifiable criteria that must be met for the project to be considered successful. Project objectives must include at least cost, schedule, and quality measures.</i> 1. Reduce IT headcount by 80% 2. Reduce IT budget by \$12M 3. Outsourcing of designated IT application within 18 months.
Cost Objectives	1. Project not to exceed \$6 M FY1 2. Project not to exceed \$3 M FY2 3. Reduce IT budget by \$12M
Schedule Objectives	Outsourcing of designated IT application within 18 months
Acceptance Criteria	In accordance with approved SLA outsourcing contract terms and agreements and warranties.
Constraints:	<i>The fundamental constraints acting on this project, and which impact scope, time, cost, and quality considerations.</i> 1. Resource (internal) availability 2. Budget 3. Time
Assumptions:	<i>A list of assumptions governing the conduct of the project and the customer's expectations of results, preferably sorted in decreasing order by priority or a weighting factor.</i> 1. Outsourcing vendor has adequate S/W and H/W Resources. 2. Current IT staff will remain in place throughout duration of project. 3. Deliverables will be as defined in scope. 4. Project Objectives will be attained at close of project.

Scope Management Plan

A **Project Scope Management Plan** is the document that describes how scope and scope changes will be managed.

A scope management plan provides advantages:

Less **scope creep**, fewer scope changes, less scope conflict, improved communications, and better customer satisfaction are achieved.

The plan is often executed as an extension of the Management by Objectives (MBO) Philosophy which says an organization should:

- Establish unambiguous and realistic **objectives**
- **Periodically evaluate** if objectives are being met
- Take corrective action



Scope Creep

Project scope creep is insidious and sneaking up suddenly and hitting you and your project where it hurts.

We all need to be careful about dealing with increasing or changing scope in order to avoid nasty surprises.

Commonly speaking, scope creep is how a project's requirements tend to **increase** over a project lifecycle such as follows:

- What once started out as a single deliverable becomes five.
- A product that began with three essential features, now must have ten.
- Midway through a project, the needs of customers change, prompting a reassessment of the project requirements.

Scope Creep

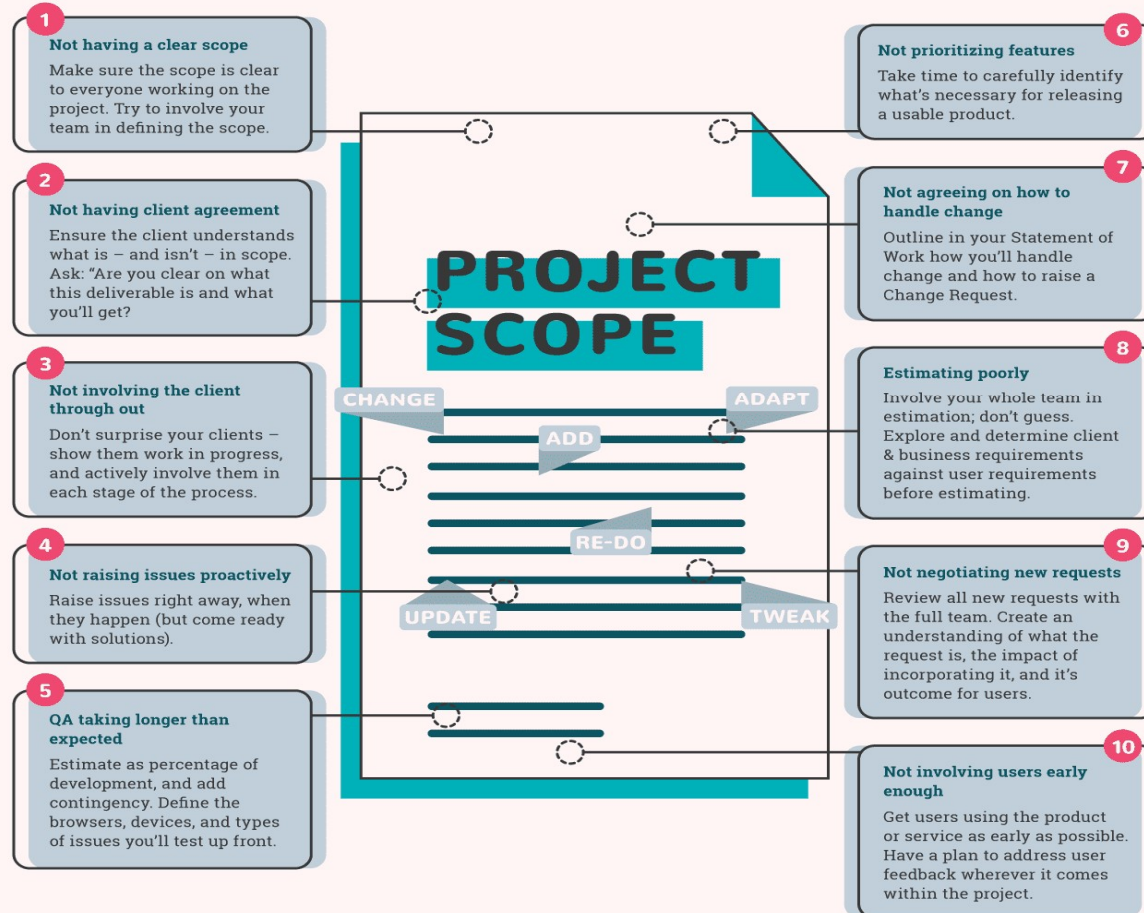
Scope creep is typically caused by **key project stakeholders** changing requirements, or sometimes from internal **miscommunication** and **disagreements**.

While it might result in project delays, roadblocks, or going over budget, scope creep is not necessarily a bad thing. **Remember that change is inevitable**. Customer needs to do change over time and delivering a project that answers their needs often means altering the scope.

Scope creep is therefore a reality that every good project manager expects and plans for.

10 Common Causes Of Scope Creep

And How To Eliminate Them



The Organizational Context

Organizational Culture

Every organization develops its own unique outlook, operating policies, procedures, patterns of thinking, attitudes, norms of behavior. They are often as unique as a fingerprint.

No two organizations no matter how similar in size, products, operating environment, profitability, ... are the same.

What is Organizational Culture?

Defined as:

“The solution to external and internal problems that has worked consistently for a group and that is therefore taught to new members as the correct way to perceive, think about and feel in relation to these problems.”

They develop over time



Key factors that affect the development of a Culture

Technology:

(use of email, telephone, meetings);

Environment:

(automotive, aerospace, government, CO2 emissions regulations, government subsidies);

Geographical Location:

(Daimler-Chrysler merger failure, Mexican or Chinese LCC);

Reward Systems:

(hourly pay, salary, bonus);

Rules and Procedures:

(rule: 40 hrs/week, really expected: 45 hrs);

Key Organizational Members:

(founder of the organization forms culture, Bill Gates); and,

Critical Incidents:

(become part of the company's lore, either for good or for bad).



How does Culture Affect Projects?

Department interaction:

Cultures favoring **cooperation** between **functional groups** and **new projects** are much more **successful** than those that adopt a disinterested or even adversarial relationship.

Employee commitment to goals:

Projects depend on the commitment and motivation of the team members. Team members must understand the **why** in order to be motivated.



How does Culture Affect Projects?

Project planning

"Padding" of duration estimates when it is **not acceptable to be late**, but it is acceptable to plan poorly.

Performance evaluation

When a culture sends the signal that the goal of the firm is to **create innovative new products**, it reinforces a project management culture that is aggressive and offers potentially high payoffs (*and the occasional significant loss!*).



Organizational Structure

- How are the lines of **hierarchy** and **communication** arranged within a company?
- Company structure affects projects.
- What/When people are available to work?
- How do you get the people?



Common Organizational Structures

1. Functional Organizations
2. Project Organizations
3. Matrix Organizations

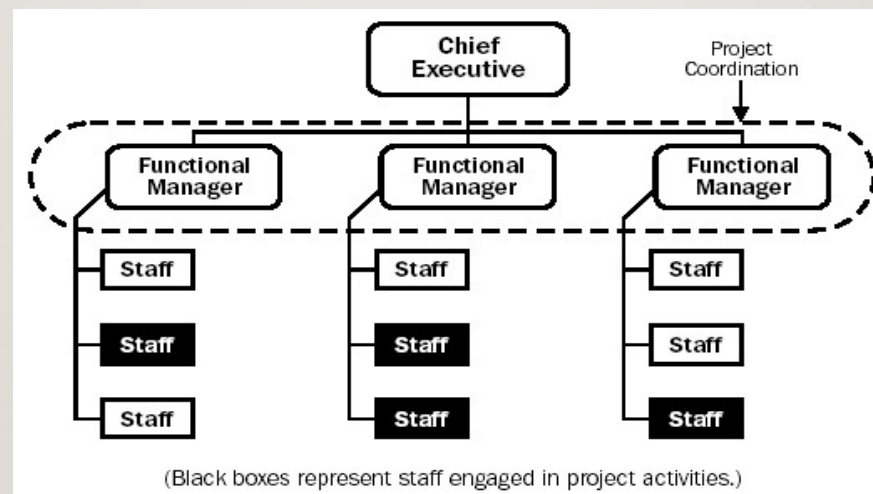


1. FUNCTIONAL ORGANIZATIONS

Each employee has **one clear supervisor**.

Employees are grouped by **specialty** such as: production, marketing, engineering.

Every department **does their own projects** independent of other departments.



PROJECTS IN FUNCTIONAL ORGANIZATIONS

Strengths for PM

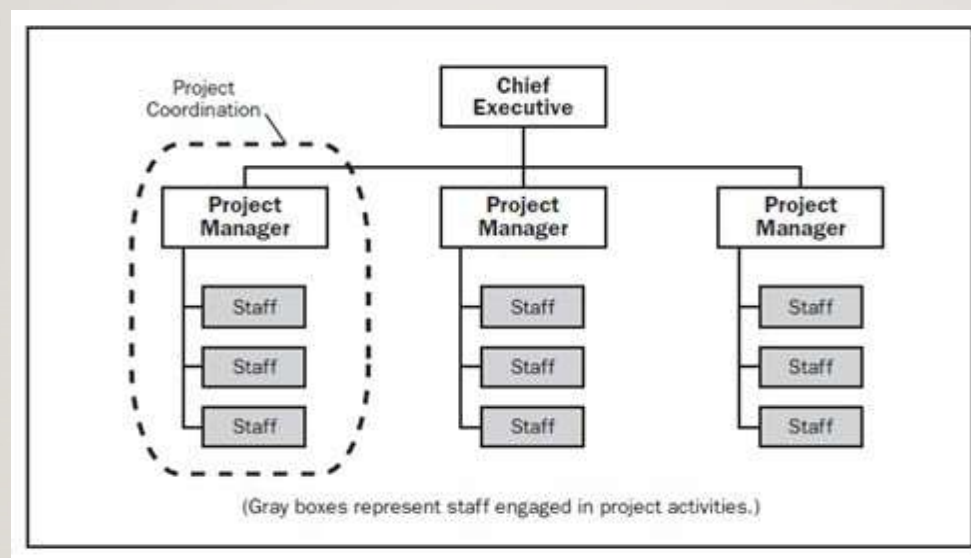
- ❖ Company doesn't have to restructure or disrupt operations.
- ❖ Everybody really knows their stuff.
- ❖ Everybody knows their place in the company.

Weaknesses for PM

- ❖ Too many layers to get through to talk to people.
- ❖ Lack of customer focus.
- ❖ Projects take longer because people are busy in their areas and have other priorities.
- ❖ I really just want to load the materials on the trucks for the guys.
- ❖ Do I really have to do this project?

2. PROJECT ORGANIZATIONS

- ❖ Opposite end of the spectrum from Functional Organizations
- ❖ Team members are usually all located together.
- ❖ Company just does projects



STRENGTHS AND WEAKNESSES OF PROJECT ORGANIZATIONS

Strengths for PM

- ❖ Employees report to **one person** usually.
- ❖ Communication is easier
- ❖ Promotes **effective and speedy decision making**.
- ❖ Develop strong project managers and encourages rapid response to market opportunities.

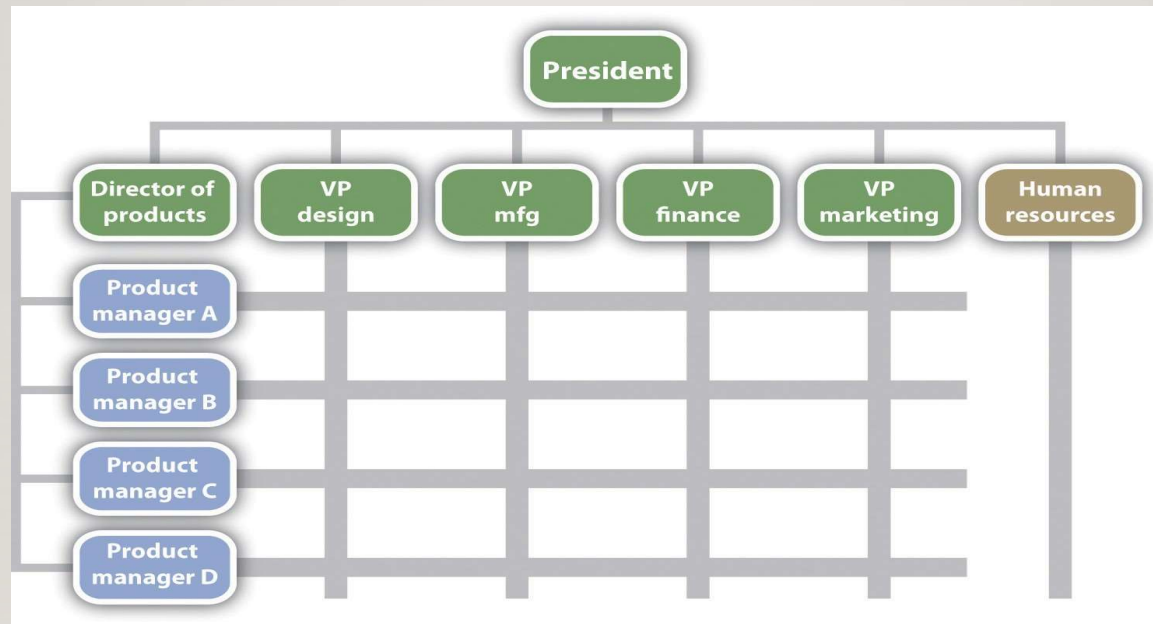
Weaknesses for PM

- ❖ Setting up and maintaining teams can be **expensive**.
- ❖ Potential for project team members to develop loyalty to the **project** rather than the overall **organization**.
- ❖ Difficult to maintain a pooled supply of intellectual capital.
- ❖ Concern among project team members about their future once the project ends.

3. MATRIX ORGANIZATIONS

Blend between functional organization and project organization.
Classified as weak, balanced or strong.

Depending on how much influence the Project Manager has.



STRENGTHS AND WEAKNESSES OF MATRIX ORGANIZATIONS

Strengths for PM

- Suited to dynamic environments.
- Emphasizes the dual importance of **project management** and **functional efficiency**.
- Promotes **coordination** across functional units .
- **Maximizes scarce resources** between competing project and functional responsibilities.

Weaknesses for PM

- Dual hierarchies mean **two bosses**.
- Requires significant time to be spent negotiating the sharing of **critical resources** between projects and departments.
- Can be frustrating for workers caught between competing project and functional demands.